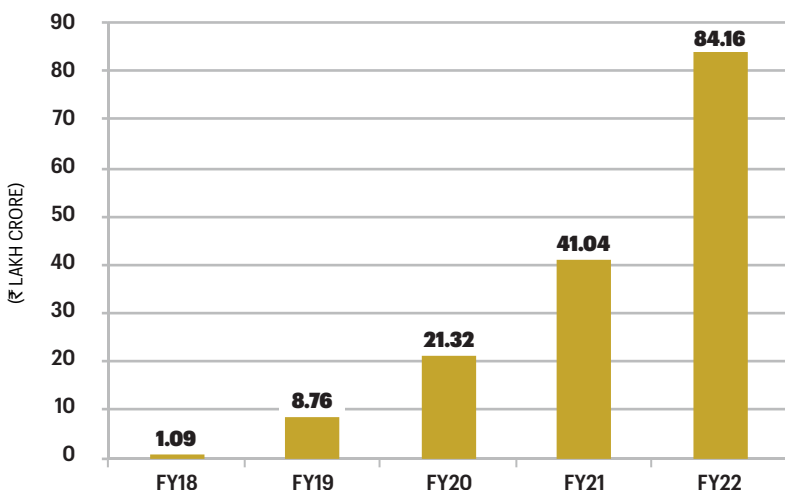


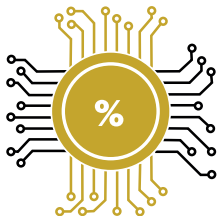
GROWTH OF UPI

The UPI numbers show the massive adoption by people and small merchants



FIGURES ARE ANNUAL TURNOVER

SOURCE PAYMENTS AND SETTLEMENT STATISTICS FY22, RBI



52 PER CENT

INDIA'S CREDIT TO GDP RATIO; THERE IS AMPLE ROOM FOR GROWTH AS THE FIGURE IS 216 PER CENT FOR THE US AND 182 PER CENT FOR CHINA

tomers who already use tech like smart speakers and voice assistants extensively, give voice commands to get work (including financial transactions) done and also interact with banks over video for KYC and other purposes.

Globally, regulators, too, are staying ahead of the curve. In January, the central bank of Thailand issued licensing guidelines for the creation a new class of banks called 'virtual banks'. Back home, the Reserve Bank of India (RBI) created a Regulatory Sandbox framework four years ago to allow testing of

new banking products in a controlled environment for innovators. "The Reserve Bank Innovation Hub (RBIH) was set up to collaborate with financial sector institutions, the technology industry and academic institutions for the exchange of ideas and development of prototypes related to financial innovations," explained RBI Governor Shaktikanta Das recently. Clearly, when regulators join in, innovations accelerate and the experience for customers is vastly enhanced. Are you ready for banking in 2047? Read on to know what's in store.

METaverse CALLING

Global consulting firm Gartner expects that by 2026, 25 per cent of people will spend at least one hour every day in the metaverse for work, shopping, education, socialising or entertainment. "The metaverse will impact every business that consumers interact with every day," says Gartner in its report. Banking, then, will be impacted, as it is interaction-based, especially branch banking. "Banks are testing the waters in terms of the metaverse, but eventually the adoption of the metaverse will become an imperative for them to participate actively in the virtual world," says Harish Prasad, Head of Banking-India, at FIS, a global firm in the financial services technology space. He adds that it is a question of being present and available in the metaverse. "The second and bigger element is the opportunity that the metaverse presents. The market for the metaverse is truly global. It will require the coming together of all banks and the network," says Prasad.

Today, the metaverse is largely driven by exchange mechanisms such as using cryptocurrency to make payments. "We need to create an ecosystem of value for exchange. I don't think any single institution can go and make that change," says Prasad. He explains that the metaverse is by design highly decentralised, and payments are also decentralised using cryptocurrency. "So how do banks go in and establish a compliant and parallel mechanism to enable payments?" he asks. There is no easy answer. As Prasad says, there is no one institution that can make a difference in the metaverse; it would need the coming together of regulators, networks, banks and financial institutions. The RBI's move to launch a central bank digital currency (CBDC) is very timely for the adoption of the metaverse by banks